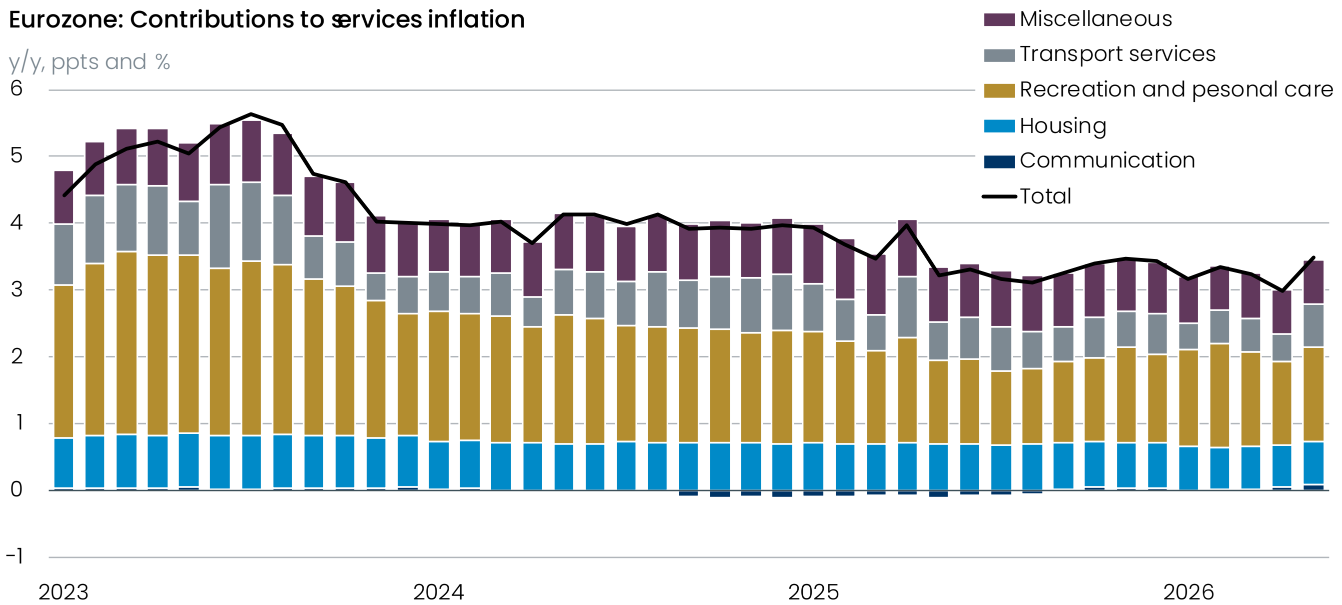
US-Iran deal provides relief as the EU prepares to face down China

- **This week has been light on data releases, with the ZEW confirming bottoming out signals consistent with other surveys, Eurozone May inflation confirmed at 3.2%, and flat industrial production. It has reinforced our view that the main hit to activity from the Middle East conflict will be in Q2, with inflation likely to peak soon.**
- **The main development this week has been the large drop of over 10% in oil and gas prices after the US-Iran deal announcement. As a result, in our second June forecast release, which is out today, we've removed the ECB's July rate hike from our baseline, nudged down inflation, and nudged up growth. If commodity prices remain where they are, we'll make larger adjustments in the July forecast round.**
- **On the agenda of this week's EU summit is the question of how to respond to the 'China shock 2.0', which threatens to hollow out EU industry. There's building momentum, led by France, for stronger EU trade defences. Since trade is an EU competence, consensus isn't needed and the bar for joint action is relatively low. However, the European Commission will seek the broadest possible support for any measures.**

There were no surprises in this week's few data releases. The ZEW index extended its gain from last month, led by the expectations component, signalling – together with other surveys – that the worst of the impact of the Middle East conflict is behind us. Eurozone headline inflation in May was confirmed at 3.2%, with the details showing that the ECB's concern about higher services inflation wasn't warranted, as the uptick was led by communications and package holidays (Chart 1) rather than a broadening of price pressures. And Eurozone industrial production in April was flat, consistent with earlier national releases.

Chart 1: The uptick in services inflation in May wasn't broad-based



Sources: Oxford Economics, Haver Analytics

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The continued rebound in leading surveys reinforces our view that the main hit to activity from the conflict will be in Q2, when we expect Eurozone GDP (excluding Ireland) to stagnate, before accelerating from Q3. At the same time, inflation is still only likely to peak in the coming months, but lower than previously feared.

The main development this week was the large drop in oil and wholesale gas prices, both down by over 10%, following the announcement of the US-Iran deal. We've updated our commodity forecasts and made minor changes in our second June forecast release, out today. Specifically, we've nudged down inflation by 0.2ppts to average 2.8% this year and by 0.1ppt to 2% next year. We also made marginal positive changes to GDP growth.

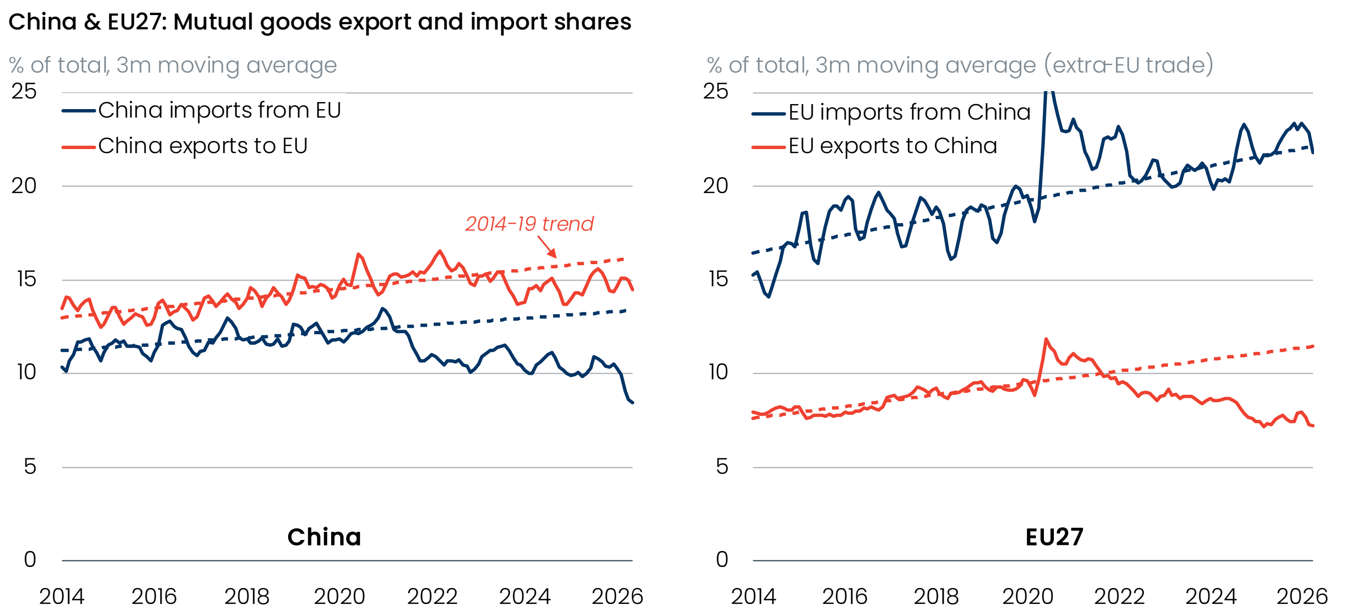
If the Strait of Hormuz begins to reopen and commodity prices remain lower, we'll be making further changes in the July forecast round, in the same direction as this week – inflation down and growth up. Although the US-Iran negotiations aren't over, and the more substantive ones are yet to begin, the risk of a large new escalation in the conflict has greatly diminished, which is positive for confidence and growth.

Meanwhile, the EU leaders' summit this week includes a discussion about global macroeconomic imbalances. This is a euphemism for how to respond to the China shock 2.0, which has been unfolding very fast, with Europe at its epicentre (Chart 2). We've covered what it means here and what tools the EU currently has at its disposal here.

The EU has to walk a tightrope, ensuring it can withstand China's retaliation, which is near guaranteed. In play are new instruments, such as faster and broader import tariffs in sectors experiencing an import surge and obliging EU companies to diversify supply chains away from China. Existing trade defence measures, such as countervailing and anti-dumping duties, suffer from very long implementation and a too-narrow product scope.

The European Commission will seek to build maximum consensus, but trade is an EU competence where the bar for joint action is relatively low. A reverse qualified majority applies to launching trade defence measures, which means a supermajority of member states (55%, representing 65% of the population) must be against. The tariffs on Chinese electric vehicles passed in the summer of 2024, even with 12 countries abstaining (for plausible deniability in retaliation) and five countries (including Germany) voting against. We'll publish a Research Briefing on the topic once there's more clarity on the trade defence measures, the implications for our forecasts, and the associated risks.

Chart 2: China's share of EU imports has been rising, but the EU's share of China's imports is declining



Sources: Oxford Economics, Haver Analytics

The week ahead

The main data release next week will be the June flash PMIs, out on Tuesday. They may show a small improvement from May, even though the surveys were conducted before the US-Iran deal was formally announced. Hence, this month, there may be more of a discrepancy than usual between the flash and final PMIs, as the latter will incorporate survey responses following the announcement.

On Monday, we will get flash Eurozone consumer confidence. In line with other surveys, we can expect to see a small uptick, even if the overall level remains downbeat (with the survey also largely conducted before the announcement of the deal).

Finally, the German Ifo will offer clues as to the state of the German economy on Wednesday. We expect it to remain downbeat, as the infighting in the federal government and capacity constraints are slowing the rollout of the long-awaited stimulus as well as reforms. Indeed, we've recently downgraded our forecast for GDP growth for Germany to just 1.5% next year.

Table 1: Data Releases

DATE	COUNTRY	EVENTS	PERIOD	UNIT	PREVIOUS	OE FCAST
22 Jun	Eurozone	Consumer Confid. Flash	Jun	Net balance	-19.0	
23 Jun	France	Business Climate Overall	Jun	Net balance	94.0	
	France	S&P MFG Flash PMI	Jun	Index (diffusion)	49.7	
	France	S&P Services Flash PMI	Jun	Index (diffusion)	44.3	
	France	S&P Composite Flash PMI	Jun	Index (diffusion)	44.9	
	Germany	S&P MFG Flash PMI	Jun	Index (diffusion)	50.1	51.2
	Germany	S&P Services Flash PMI	Jun	Index (diffusion)	48.1	49.1
	Germany	S&P Composite Flash PMI	Jun	Index (diffusion)	48.8	49.9
	Eurozone	S&P MFG Flash PMI	Jun	Index (diffusion)	51.6	
	Eurozone	S&P Services Flash PMI	Jun	Index (diffusion)	47.7	
	Eurozone	S&P Composite Flash PMI	Jun	Index (diffusion)	48.5	
24 Jun	Germany	Ifo Business Climate New	Jun	Index	84.9	85.5
	Germany	Ifo Curr Conditions New	Jun	Index	86.1	86.6
	Germany	Ifo Expectations New	Jun	Index	83.8	84.3
25 Jun	Germany	GfK/NIM Consumer Sentiment	Jul	Net balance	-29.8	
	France	Consumer Confidence	Jun	Net balance	82.0	
	Spain	GDP Final QQ	Q1	Percent	0.6%	
26 Jun	Italy	Mfg Business Confidence	Jun	Index	87.9	
	Italy	Consumer Confidence	Jun	Index	93.4	

Sources: Oxford Economics, Reuters

KEY FORECASTS

Table 2: Eurozone key forecasts - annual

(ANNUAL PERCENTAGE CHANGES UNLESS SPECIFIED)						
	2023	2024	2025	2026	2027	2028
GDP	0.6	0.9	1.5	0.4	1.5	1.7
Private consumption	0.6	1.3	1.5	0.8	1.4	1.8
Exports of goods and services	-1.0	0.6	2.2	-0.2	1.5	1.7
Imports of goods and services	-1.8	-0.1	3.6	1.3	1.5	2.1
Industrial production	-1.7	-3.0	1.5	-0.1	2.3	2.2
Employment	1.5	1.0	0.8	0.5	0.4	0.3
Unemployment rate (%)	6.5	6.4	6.3	6.3	6.2	6.0
Government balance (% of GDP)	-3.5	-3.0	-2.9	-3.2	-3.1	-3.1
Current a/c balance (% of GDP)	1.7	2.7	1.7	1.7	1.8	1.8
Consumer prices	5.4	2.4	2.1	2.8	2.0	2.0
Bank's deposit rate (%, EOP)	4.0	3.0	2.0	2.3	2.0	2.0
Exchange rate (US$ per euro, EOP)	1.11	1.04	1.18	1.17	1.18	1.18

Source: Oxford Economics

Table 3: Eurozone key forecasts - quarterly

(ANNUAL PERCENTAGE CHANGES UNLESS SPECIFIED)								
	2025				2026			
	Q1	Q2	Q3	Q4	Q1	Q2	Q3	Q4
GDP	1.7	1.6	1.4	1.2	0.3	0.4	0.4	0.5
CPI inflation	2.3	2.0	2.1	2.1	2.0	3.0	3.1	3.1
3-month EURIBOR (%)	2.6	2.1	2.0	2.0	2.1	2.3	2.3	2.3
10-year yield, EZ average (%)	3.2	3.2	3.2	3.2	3.3	3.4	3.3	3.4
Exchange rate (US$ per euro, AVG)	1.05	1.13	1.17	1.16	1.17	1.15	1.16	1.17
Exchange rate (euro per £, AVG)	1.20	1.18	1.15	1.14	1.15	1.15	1.15	1.13

Source: Oxford Economics

LATEST COUNTRY ECONOMIC FORECASTS

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